Tutorial note: Over valuation of closing stock in 2017 will result in over valuation of opening stock in 2018

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$= \frac{41{,}000 + 34{,}000 + 60{,}000}{3}$$

$$= \frac{1{,}35{,}000}{3} = ₹\ 45{,}000$$

Goodwill = Average profit × Number of years of purchase

= 45,000 × 2 = ₹ 90,000

Illustration 5

The following particulars are available in respect of a business carried on by a partnership firm:

(a) Profits earned: 2016: ₹ 30,000; 2017: ₹ 29,000 and 2018: ₹ 32,000.

(b) Profit of 2016 includes a non-recurring income of ₹ 3,000.

(c) Profit of 2017 is reduced by ₹ 2,000 due to stock destroyed by fire.

(d) The stock is not insured. But, it is decided to insure the stock in future. The insurance premium is estimated at ₹ 5,600 per annum.

You are required to calculate the value of goodwill on the basis of 2 years purchase of average profits of the last three years.

Solution

Calculation of adjusted profit

Particulars	2016 ₹	2017 ₹	2018 ₹
Profit	30,000	29,000	32,000
Less: Non- recurring income	3,000	-	-
	27,000	29,000	32,000
Add: Stock destroyed by fire (abnormal loss)	-	2,000	-
Profit after adjustments	27,000	31,000	32,000

$$\text{Average profit} = \frac{\text{Total profit}}{\text{Number of years}}$$

$$\text{Average profit} = \frac{27{,}000 + 31{,}000 + 32{,}000}{3}$$

$$= \frac{90{,}000}{3} = ₹\ 30{,}000$$

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